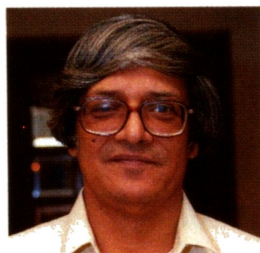


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This is a regressive transfer from 375 million who work outside the government to 45 million who work for government and quasi-government bodies

PREY COMMISSION

George Bernard Shaw should be quoted. "A government that robs Peter to pay Paul can always depend on the support of Paul." Given the Sixth Pay Commission recommendations, robbery is an appropriate term. Unlike theft, there is use of force, exercised by the government. In reacting to salary hikes proposed, we forget that economics is about allocating resources with competing uses. A Central pay commission isn't about Central Government and its 3.5 million employees alone. It will inevitably extend to state government and quasi-government bodies and cover around 45 million people. The overall impact will be around 1 per cent of GDP (less than Fifth Pay Commission's 1.5 per cent, because DA hikes have been larger since then). The point isn't whether buoyant revenue can absorb this 1 per cent shock. Even if it can be absorbed, these are resources that could have been spent elsewhere. Unless one can demonstrate these hikes will result in efficiency improvements and increase the size of the cake, this is a transfer from 375 million who work outside the government to 45 million who work for government and quasi-government bodies.

It is not only a transfer, it is a regressive transfer, because 375 million are the relatively poor and 45 million are the relatively rich. And that might be warranted had there been a real improvement in efficiency. Efficiency is individual. It can't be collective. The moment one has a concept of grades and scales, one assumes rewards based on average productivity (which is collective) and not on marginal productivity (which is individual).

This is like saying that regardless of where one wishes to go in a city from the airport, the cab fare will be the same. This may be easier to administer (taxis needn't have individual meters), but is nonsensical if one is stimulating efficiency. True, private sector also has grades and scales. But it permits greater deviations and allows incorporation of individual performance-linked rewards. This is impossible within the government system, where bonuses also become guaranteed. Of course, there is wheat within the government

system. But one can't differentiate wheat from chaff. One would have bought the efficiency-stimulating argument, had there been individual contracts de-linked from scales.

Since 90 per cent of government jobs covered by the pay commission are Classes III and IV, one can't be serious that pay commission hikes will improve efficiency or governance. Indeed, governance will improve far more if we implement even 5 per cent of assorted civil service reform recommendations articulated in assorted commissions, committees and task forces. Any pay commission recommendations would have been more convincing, had one included imputations for perks, housing, other allowances, five-day weeks, complete security of tenure and worked out CTC recommendations for government servants, with FBT provisions included. In India's workforce, a small percentage is integrated into the global labour market, with incomes that are global, adjusted perhaps for PPP (purchase power parity). That's because these people can freely enter (and exit from) the global labour market. To retain them, one needs incentives on par with global norms. But is that an argument for everyone in India to have wage rates equal to American levels?

That's no argument for collective increases across the government labour force. Indeed, notwithstanding the Constitution, pay commissions at intervals of 10 years are a bad idea. Ideally, one would have preferred salary hikes without the rest of the country being forced to pay. Let the government system redistribute resources within itself, by paying the deserving more and the inefficient less, and actually downsizing.

Government servants are today's Kshatriyas. Politicians are Brahmins. Private companies are Vaishyas and the poor (primarily rural) are Shudras. Of course, Vaishyas make more money than Kshatriyas (and Brahmins). But Brahmins and Kshatriyas are more than compensated by power and often extract private transfers as a sign of servitude. As for Shudras, transfers extracted from them through pay commissions can be public and transparent. Their voting patterns can be influenced later, since they have lower decibel levels. Right now, one needs to tackle those with high-decibel levels and one-third of urban Indian households earn a living from government and quasi-government bodies. That's no joke. ■



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